13. INCOME TAXES:

Components of income tax expense (benefit) for the fiscal years ended 2003, 2002 and 2001 consisted of the following:

	2003	2002	2001
Current:			
Federal	$ 1,247,543	$ 63,095	$ (527,834)
State	41,763	(115,540)	52,396
	1,289,306	(52,445)	(475,438)
Deferred:			
Federal	(674,010)	1,327,951	(473,656)
State	13,704	40,494	(69,317)
	660,306	1,368,445	(542,973)
Income tax expense (benefit) - continuing operations	629,000	1,316,000	(1,018,411)
Income tax (benefit) - discontinued operations	-	-	(962,648)
	$ 629,000	$ 1,316,000	$(1,981,059)

The difference between the Company's income tax expense (benefit) attributable to continuing operations in the accompanying financial statements and that which would be calculated using the statutory income tax rate of 34% on income before taxes is as follows for the fiscal years ended 2003, 2002 and 2001:

	2003	2002	2001
Tax at statutory rate	$ 562,861	$ 1,117,943	$ (948,750)
Amortization of goodwill and other intangibles	(4,777)	54,155	77,064
Nondeductible business expenses	(21,081)	17,229	3,908
State income taxes, net of federal tax benefit	(29,494)	73,716	28,908
Benefit of loss on disposal	-	-	(424,743)
Valuation allowance for loss on disposal	-	-	212,371
Equity in loss of unconsolidated affiliate	-	32,302	32,111
Other	121,491	20,655	720
	$ 629,000	$ 1,316,000	$(1,018,411)

Temporary differences between the financial statement carrying amounts and tax bases of assets and liabilities giving rise to the net deferred tax asset at fiscal year ends 2003 and 2002 relate to the following:

	2003	2002
Deferred tax assets:		
Current:		
Allowance for doubtful accounts	$ 306,050	$ 232,122
Allowance for impairment of assets held for sale	151,757	-
Accrued expenses	446,719	417,109
Net operating loss carryforwards	51,449	194,028
Inventory	759,910	-
Other	46,050	122,480
	1,761,935	965,739
Noncurrent:		
Net operating loss carryforwards	887,492	1,028,977

Other	85,533	38,250
	973,025	1,067,227
Total deferred tax assets	$ 2,734,960	$ 2,032,966
Deferred tax liabilities:		
Current:		
Trade discounts	$ 193,459	$ 211,843
Other	-	429,527
	193,459	641,370
Noncurrent:		
Fixed assets	345,018	162,936
Tradenames	1,659,594	1,461,914
Goodwill	167,974	58,654
Unrealized gains on available-for-sale investments	167,806	172,039
	2,340,392	1,855,543
Total deferred tax liabilities	$ 2,533,851	$ 2,496,913
Net deferred tax assets (liabilities):		
Current	$ 1,568,476	$ 324,369
Noncurrent	(1,367,367)	(788,316)
	$ 201,109	$ (463,947)

The Company did not record any valuation allowances against deferred tax assets at fiscal year ends 2003 or 2002 because management believes future taxable income will more likely than not be sufficient to realize such amounts. The net operating loss was acquired in connection with the acquisition of HNWC in 2002. The utilization of the net operating loss of $2,471,000 at fiscal year end 2003 is limited (by Internal Revenue Code Section 382) to approximately $135,000 per year through 2022.